

AMONG THE BILLION-DOLLAR BRAINS

WHEN I HEARD MS. MOLTER SAY THAT THE SELL SIDE MERELY advises the buy side, and that the buy side merely advises the portfolio managers, I knew I was one step away from the most influential of investors. From what I'd gathered, the 9,000 or so portfolio managers control 75 percent of the shares on the New York Stock Exchange and more than 50 percent of the shares in NASDAQ. They make the investment decisions for mutual funds, banks, pensions, and all the institutions.

I didn't go to see Mr. Platt right away. First, I went to see Michael Lipper, the expert on mutual funds. This was as good a time as any to investigate those popular holdings. Right from the beginning, several stockbrokers had argued that mutual funds are the only way an average person could hope to compete in the stock market. An entire generation of investors had bought into mutual funds in the belief that portfolio managers could do for them what they did for Citicorp or Bankers Trust. Mutual funds had become the average investor's own big institution.

Mr. Lipper was the Duncan Hines, the AAA, the Michelin of mutual funds. His company rated them, analyzed them, and ranked them for performance. If you ever wanted to shop around for mutual funds, the Lipper report, published regularly in *Barron's*, was the invaluable source.

It seemed to me there were so many mutual funds that picking the best one was no easier than picking a single winning stock. This was confirmed by Mr. Lipper in our half-hour interview. By his latest count, there were 2,500 separate funds, including loads and no-loads, stock funds, bond funds, and mixtures, offshore and